

ELME COMMUNITIES ELME

July 03, 2026 - 12:42pm EST

by fizz808

			2026	2027
Price:	1.59	EPS	0	0
Shares Out. (in M):	89	P/E	0	0
Market Cap (in \$M):	141	P/FCF	0	0
Net Debt (in \$M):	35	EBIT	0	0
TEV (in \$M):	177	TEV/EBIT	0	0

Description

Elme Communities (NYSE: ELME) is a REIT in the final stages of a protracted and disappointing liquidation process. Please see Rulon Gardner's August 2025 post for relevant background on the company and liquidation.

ELME announced the initial liquidating distribution range in August 2025. Since then, the company has lowered its guidance twice; first in January 2026 and then again in May 2026. The pattern of negative surprises appeared to be behind the company when it announced the final unsold asset was put under contract in late May 2026.

On June 24th, the company issued an 8K announcing that the largest asset remaining in the portfolio, Riverside Apartments, which represented \$280M of the \$543M of asset value, had fallen out of contract after the buyer (Beitel Group) terminated the purchase. Management fully withdrew the liquidation guidance. The stock closed -33% the following day, wiping away ~\$60M of value. Terminating the deal during the inspection window is concerning. While I don't know the specific reason for the termination, my prior work on the asset gives me comfort it was not related to any material deferred capex requirement.

Ultimately, Riverside is a fairly attractive asset that has averaged ~96% occupancy and has been a stable income generating asset in a relatively attractive area. For context, Riverside Apartments was purchased by Elme's predecessor Washington REIT in 2016 for \$245M at a sub-6% cap rate. Elme has spent ~\$77M on improvements to the building and land since then.

Recent comps:

- May 2026 – The Grand Residences at North Bethesda sold for \$180M (\$326k/unit)
- March 2024 – Mason at Van Dorn sold for \$225M (\$191k/unit)

At a 7.5% cap rate, Riverside is worth about \$265M or \$215k/unit. Layering in some incremental G&A and interest costs, ELME is conservatively worth ~\$2.00 offering a 25% upside to the current share price of \$1.59.

Stated differently, the current share price implies ~\$227M for Riverside, which is a 8.7% cap rate and \$185k per unit. That would represent a 7% discount from Elme's prior purchase price and does not give credit to the improvements to date.

All three of the remaining assets under contract are past their inspection window which greatly reduces the risk of close.

I think the process should take less than six months given a singular focus on the sale of the company's remaining asset.

Asset Breakdown				NAV Buildup				
Property	Status	Date	Value	31-Mar	PF	Δ	Notes	
Elme Germantown	Sold	5/13	\$53.7	\$53.7	\$53.7	-		
Elme Watkins Mill	Sold	6/10	\$41.3	41.3	41.3	-		
Elme Bethesda	Contract	7/9	\$58.0	58.0	58.0	-		
The Kenmore	Contract	-	\$110.0	110.0	110.0	-		
3801 Connecticut	Contract	-		280.0	\$263.2	(16.8)	Assumes 7.5% cap rate	
Riverside Apartments	Listed	12/30	\$263.2					
Total Property Value			\$526.2	\$543.0	\$526.2	(\$16.8)		
Riverside Creation				(+) BS Cash Q1 '26	\$39.3	\$39.3	-	
Share Price	\$1.59			(+) Rent receivable	1.7	1.7	-	
Shares	88.9			(-) Term Loan	(337.5)	(337.5)	-	
Market Cap	\$141.3			(-) Payables	(6.2)	(6.2)	-	
Non-Riverside Assets	\$263.0			(+) Estimated net inflows	7.4	7.4	-	
Net Debt + Liquidating Costs	(348.8)			(-) Liquidation costs	(27.1)	(27.1)	-	
Implied Riverside Value	\$227.1			(-) G&A	(11.7)	(11.7)	(6.0)	Estimate
Cap Rate	\$19.7	8.69%		(-) CapEx	(1.7)	(2.0)	(0.3)	Estimate
Per Unit	1,222	\$185,836		(-) Interest	(4.6)	(6.7)	(2.1)	PF TL of \$251M for 5 months
				Liquidation Value	\$202.6	\$177.4		
				Shares	88.9	88.9		
				Liquidation Value / Share	\$2.28	\$2.00		
				Current Price		\$1.59		
				Upside		25.6%		

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

sale of Riverside

Messages

Subject SG&A burn
Entry 07/03/2026 12:54 PM
Member eigenvalue

Thank you for the idea.

- a) Do you know why the buyer walked?
- b) How much of deferred cap ex is at the property?
- c) Is the mortgage under-market?
- d) Are the rents under or over market?
- e) What are the forecasts for rental changes in the next 12 and 24 months?
- f) How much SG&A burn are you assuming?

Thank you.

Subject Riverside
Entry 07/06/2026 08:54 AM
Member blaueskobalt

I think this is hard to touch without insight on Riverside.

Midpoint of the liquidation range guide given in May was \$2.21. Your price target is \$2.00. 21 cents x 89mn shares = \$18mn. That is 6% of the prior contracted price for Riverside.

Now consider the prior process for Riverside. Given the liquidation, execution would have been management's priority - even moreso than normal. So, what likely happened: (a) the \$280mn was a weaker bid that was MUCH higher than stronger bids, so management took it on that basis; or (b) the \$280mn bid was a strong bid, and something serious was discovered during inspection (something that couldn't be overcome by a modest price cut). Either way, I think that assuming a Riverside sales price just 5-6% below prior is dangerous. It may prove right, but I wouldn't want to make that bet without having clear insight.

Let's assume an 11% cut - which may be optimistic, if there are structural issues with this 55yo complex. That is 34 cents per share, reducing the prior midpoint to \$1.87. If a 20% cut is required, that takes the midpoint down to \$1.58.

Subject Re: SG&A burn
Entry 07/06/2026 06:05 PM
Member fizz808

- a. We don't know but based on some feedback we heard we suspect it was likely related to financing issues.
- b. Nothing material to our knowledge.
- c. The mortgage is no longer applicable with the term loan refinancing.
- d. The rents are roughly in line with market based on what we can gather, though ELME has historically provided limited property-level data.
- e. Based on stats we've seen for the area it should be flat to up a few percent.
- f. 18mm of g&a in addition to 27mm of liquidation costs.

Subject Re: SG&A burn
Entry 07/06/2026 09:09 PM
Member Rulon Gardner

Eigen,

From a couple phone convos that I have had with MF operators/investors, Beitel relies on syndicating deals to raise capital. I was told that most of that capital comes from the conservative Jewish investors (told to me by a Jewish real estate investor). Beitel couldn't come up with the capital as it is a large purchase at \$280mm which is likely 3-7 times the size of a typical MF deal.

Could it have been lead paint, superfund/toxic stuff? I thought through this and thought that ELME/WRE bought this property in 2016. If those were issues, they would have identified it. If ELME/WRE owned this from 1971, I would be more concerned.

On cap ex, I've heard that buyer want to invest \$20mm and upgrade it from a B- (due to 55 yr age) to a B+. One can argue whether that's "growth cap ex" or "maintenance cap ex". I heard from an experience MF operator that it would take 5 years to go through a \$15 mm cap ex budget if you just want to keep it the same. \$20mm is certainly growth cap ex. I think it's important to acknowledge this property for what it is, an older vintage asset located in a decent area.

It's apartments, over/under isn't a really big deal. DC/NOVA have softness. Worst case, rent trends down 2-3% IMO.

Blausekobalt,

I have a \$1.80s as a base case. I think \$1.55 that the stock closed at is my bear case. I think we make a buck here. Obviously buying it on the day of dislocation in the low \$1.30 is better. But this is still decent return. This name has disappointed so many people, I can't see why it trades where it currently does.